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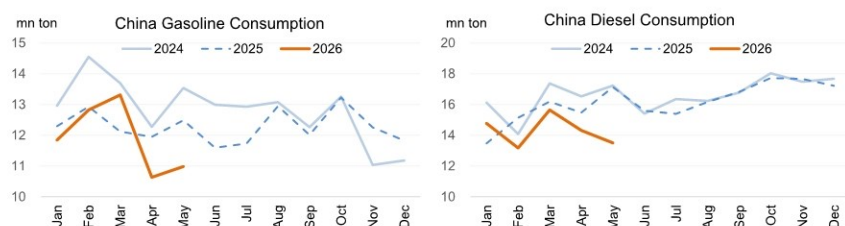
China Energy & Chemicals | Asia Pacific

China NOW: Oil Consumption

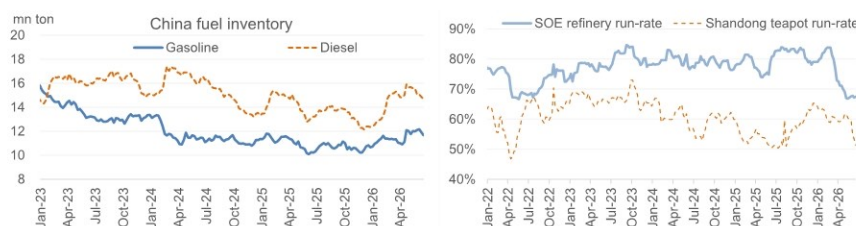
Key Takeaways

- China's implied gasoline and diesel demand weakened sharply in May, posting 12% and 21% declines YoY, respectively.
- Jet fuel consumption remained resilient, rising roughly 5% YoY, while naphtha consumption was broadly unchanged.
- Total oil products consumption declined by 13.5% YoY in May, and down ~12% YoY since SOH disruption.
- This suggests that the primary source of demand destruction remains road transportation and infrastructure building activity, rather than aviation or chemical.

We believe the weakness reflects a combination of softer economic activity, slowing infrastructure and logistics demand, and accelerating substitution toward EV-dominated shared-mobility - high oil prices likely encouraged consumers to shift mobility toward electric vehicles and public transit, further intensifying structural pressure on traditional transport fuel consumption.

Exhibit 1: China monthly fuel consumption (including inventory movement)

Source: CEIC, China Customs, Oilchem, Morgan Stanley Research

Exhibit 2: China fuel inventory and refiner run-rates: fuel inventory has been elevated since SOH disruptions despite significant run-rate cuts at refiners

Source: Oilchem, SCI, Morgan Stanley Research

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CHINA ENERGY & CHEMICALS

Asia Pacific

Industry View

In-Line

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/23/2026)
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Bluestar Adisseo Co (600299.SS)		Rmb9.43
China Oilfield Services Ltd. (2883.HK)	E (03/28/2026)	HK\$6.71
China Oilfield Services Ltd. (601808.SS)	U (03/28/2026)	Rmb11.60
China Petroleum & Chemical Corp. (600028.SS)	E (08/19/2024)	Rmb4.73
China Petroleum & Chemical Corp. (0386.HK)	O (07/29/2025)	HK\$4.11
CNOOC (0883.HK)	O (03/17/2021)	HK\$21.90
Contemporary Ampere Technology Co. Ltd. (300750.SZ)	O (06/25/2025)	Rmb392.51
Contemporary Ampere Technology Co. Ltd. (3750.HK)	O (05/04/2026)	HK\$704.00
EVE Energy Co Ltd (300014.SZ)	E (05/31/2022)	Rmb67.28
Gotion High Tech Co Ltd (002074.SZ)	E (04/17/2023)	Rmb29.55
Guangzhou Tinci Materials Technology Co (002709.SZ)	E (01/08/2026)	Rmb54.04
Hengli Petrochemical Co Ltd (600346.SS)	++	Rmb18.17
Ningbo Ronbay New Energy Technology (688005.SS)	U (10/27/2025)	Rmb33.96
Ningxia Baofeng Energy Group Co., Ltd. (600989.SS)	E (04/15/2026)	Rmb21.91
PetroChina (601857.SS)	O (08/19/2024)	Rmb9.41
PetroChina (0857.HK)	O (03/17/2021)	HK\$8.94
REPT Battero Energy Co (0666.HK)	E (10/20/2025)	HK\$13.92
Rongsheng Petrochemical Co Ltd (002493.SZ)	E (07/29/2025)	Rmb11.81
Shanghai Putailai New Energy Tech Co Ltd (603659.SS)	U (10/27/2025)	Rmb29.15

Shenzhen Senior Technology Material Co (300568.SZ)	E (01/08/2026)	Rmb18.94
Yunnan Energy New Material Co Ltd (002812.SZ)	O (10/27/2025)	Rmb68.81
Kaylee Xu		
Jiangsu Cnano Technology Co Ltd (688116.SS)	U (03/10/2025)	Rmb38.89
Jiangsu Yangnong Chemical (600486.SS)	O (06/12/2026)	Rmb55.43
Shandong Sinocera Functional Material (300285.SZ)	E (03/23/2026)	Rmb90.78
Shenzhen Capchem Technology Co Ltd (300037.SZ)	E (06/07/2023)	Rmb88.00
Sunresin New Materials Co Ltd (300487.SZ)	E (10/25/2024)	Rmb58.50
Wanhua Chemical (600309.SS)	O (04/10/2026)	Rmb72.80
Zhejiang NHU Co. Ltd. (002001.SZ)	E (01/26/2026)	Rmb29.75

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